



DEALER BEST PRACTICE SERIES

Managing Continuous Improvement Projects

Application Maintenance Site Management Component Rebuild Component Life Management Safety MARC Management

Managing Continuous Improvement Projects0

1.0 Introduction.....1

2.0 Best Practice Description.....1

3.0 Implementation Steps1

4.0 Benefits.....3

5.0 Resources Required4

6.0 Supporting Attachments / References4

7.0 Related Best Practices4

8.0 Acknowledgements.....4

DISCLAIMER: The information and potential benefits included in this document are based upon information provided by one or more Cat® dealers, and such dealer(s) opinion of “Best Practices”. Caterpillar makes no representation or warranty about the information contained in this document or the products referenced herein. Caterpillar welcomes additional “Best Practice” recommendations from our dealer network.

1.0 Introduction

Almost every dealer has an annual Continuous Improvement plan with goals and objectives. Many of these goals and objectives center on adding new service capability, expanding facilities or level of technicians, adding tooling, or improving on existing tools, facilities, or processes. The end objective is to achieve higher performance in terms of revenue, efficiency, quality, lower costs, and customer satisfaction.

Often, there is no organized or formal process to manage Continuous Improvement. This Best Practice discusses a formal process to identify ideas for improvement, evaluate those ideas, develop an implementation plan, and document the benefits.

2.0 Best Practice Description

Why create a formalized Continuous Improvement process?

- Identify good ideas
- Research the best ideas from other dealers and Caterpillar
- Improve internal communications in the development of annual improvement plans
- Document costs versus benefit of improvements

The key elements of a Continuous Improvements process include:

- Ownership. Appoint a person to be responsible for managing Continuous Improvement
- Idea search/replication. A process to identify new opportunities and ideas.
- Review team. Evaluate new ideas, prioritize, and select for implementation.

Additional important elements include upper management support, budget where required, and employee involvement.

3.0 Implementation Steps

Ownership

Appoint a Continuous Improvement Champion and define roles and responsibilities. This person would be responsible for the search and collection of ideas for improvement and lead a team in the evaluation of ideas. Typically, the CI Champion role is a 6 Sigma Black Belt or Master Black Belt.

Search for new ideas.

There are many sources for new ideas. Some example sources are listed below. These sources should be checked on a regular basis for new ideas that may be applicable to your organization. Often ideas, such as those posted on the Global Mining Best Practices website, have already been developed elsewhere. They represent “replication” opportunities.

THE INFORMATION HEREIN MAY NOT BE COPIED OR TRANSMITTED TO OTHERS WITHOUT THE WRITTEN PERMISSION OF CATERPILLAR

Managing Continuous Improvement	DATE 2/13/2015	CHG NO 02	NUMBER 1207-4.2-1112
---------------------------------	-------------------	-----------------	-------------------------

Sources for Ideas

- Caterpillar Global Mining Best Practices website contains an archive of shared ideas from other dealers and minesites.
- Dealer Black Belt Knowledge Network contains 6Sigma project summaries from other dealers.
 - o Link: <https://kn.cat.com/cat.cfm?id=6139&ke=1&kefolder=7632#currentKE>
- Dealer CRC Best Practices Knowledge Network is a communication tool with other dealers.
 - o Link: <https://kn.cat.com/cat.cfm?id=14304&pur=1#currentPUR>
- Employee Suggestion programs
- Visits to other Dealers.
- Caterpillar Conferences and Events.
- Customer Feedback

Review and Evaluation

A team consisting of members who would be affected should review each idea under evaluation. The team would include management, supervisors, and subject matter experts as required.

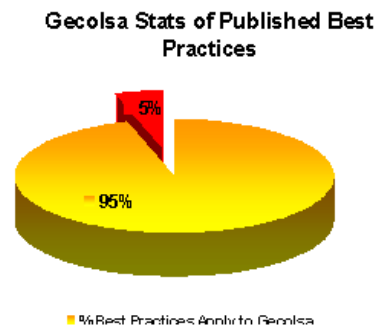
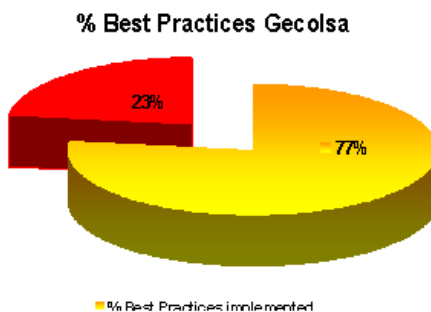
The team would determine:

- Does the idea apply? Is it needed?
- What is the cost and time required to implement?
- What is the expected benefit?
- Implementation recommendation and priority.

The following is a process for the review and evaluation of Best Practices published on the Global Mining website developed and utilized at Gecolsa, the Caterpillar dealer in Colombia. Review is on a monthly basis. (Also see attachment for detail)

Gecolsa Stats (August-2007)

- 79/83 – 95% of Caterpillar published best practices apply to Gecolsa
- 61/79 – 77% are implemented
- 9/83 – 11% Born at Gecolsa
- 70/83 – 84.3% Taken from website
- 7 Submitted after the new in-house process
- 10 more in process



THE INFORMATION HEREIN MAY NOT BE COPIED OR TRANSMITTED TO OTHERS WITHOUT THE WRITTEN PERMISSION OF CATERPILLAR

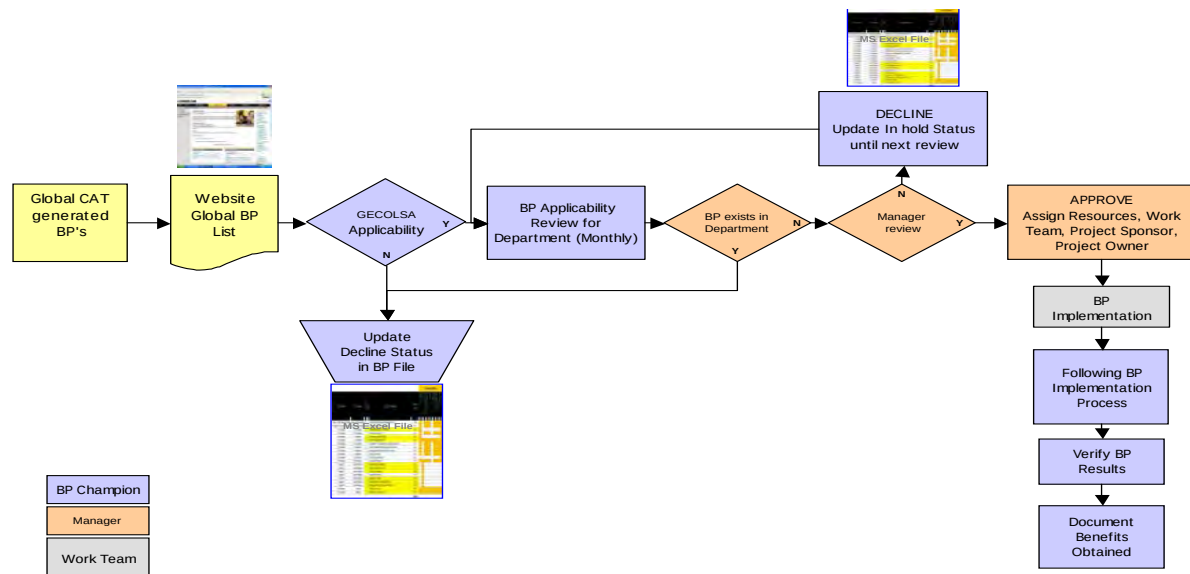
Managing Continuous Improvement

DATE
2/13/2015

CHG
NO
02

NUMBER
1207-4.2-1112

Review Process: CGM Best Practices



(see attachment "BestPracticeProcess – Gecolsa.ppt")

Tracking Process

Total Category by Process	
Category	Total
Application Management	6
Component Life Management	16
Component Rebuild	39
Maintenance Management	19
MARC Management	16
Minesite Management	6
New This Month:	12
Safety	4
Total general	118

% Implemented per Category		Gecolsa
Category	Total	Status
Application Management	2	33.33%
Component Life Management	15	93.75%
Component Rebuild	30	76.92%
Maintenance Management	12	63.16%
MARC Management	5	31.25%
Minesite Management	4	66.67%
Safety	1	8.33%
Total general	69	77.53%

% Implemented per Project Sponsor		Sponsor		Actualizar
Category	Total	Total	Status	% Per Imp.
Customer / Project and Field Service Manager	4	2	50.0%	50.0%
Machine Shop Manager	1	1	100.0%	0.0%
Manager CRC	39	32	82.1%	17.9%
Project Managers	42	31	73.8%	26.2%
Technical Manager	3	3	100.0%	0.0%
Total general	89	69		
Pending Implementation	22.47%	20		

Total Best Practices Published
83

% Best Practices Apply to Gecolsa
95%

Total Best Practices Apply to Gecolsa
79

Total Best Practices Not Applicable
4

% Best Practices implemented
77.22%

Total Best Practices implemented
61

% Best Practices Pending
22.78%

Total Best Practices per implement
18

THE INFORMATION HEREIN MAY NOT BE COPIED OR TRANSMITTED TO OTHERS WITHOUT THE WRITTEN PERMISSION OF CATERPILLAR

Managing Continuous Improvement

DATE
2/13/2015CHG
NO
02NUMBER
1207-4.2-1112

- Velocity - Implement proven ideas through replication
- Knowledge management – share / use ideas from other dealers
- Improve costs, efficiency, quality, customer satisfaction

5.0 Resources Required

Staff and time requirements

6.0 Supporting Attachments / References

7.0 Related Best Practices

1207-4.5-1111 Effective Employee Suggestion Programs

8.0 Acknowledgements

This Best Practice was written by:

Ricardo Chegwin
Mining Technical Manager
Gecolsa CAT
ricardo_chegwin@gecolsa.com.co

Special thanks to:

- Luis Jimenez – Operations and Projects Manager
luis_jimenez@gelcolsa.com.co
- Libardo Mendoza – Operations and Major Project Manager
libardo_mendoza@gelcolsa.com.co
- Mauricio Güiza – CRC Manager
mauricio_guizaviscaino@gecolsa.com.co

THE INFORMATION HEREIN MAY NOT BE COPIED OR TRANSMITTED TO OTHERS WITHOUT THE WRITTEN PERMISSION OF CATERPILLAR

Managing Continuous Improvement	DATE 2/13/2015	CHG NO 02	NUMBER 1207-4.2-1112
---------------------------------	-------------------	-----------------	-------------------------